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US Rates Strategy | North America

Stay in Steepeners, Maximize Vol-Adjusted Carry and Roll

The July employment report ended hopes of a labor market rebound, yet markets still price a higher trough fed funds rate than our economists forecast. Repricing to their 3.50% average takes UST 10y to 4.30% from 4.65%. Stay in UST 7s30s steepeners, where vol-adjusted carry and roll pays most.

Key Takeaways

- On the spot curve, UST 7s30s steepeners offer an attractive 3m vol-adjusted carry and roll ratio, nearly twice 5s30s and the highest reading since mid-2022.
- The market-implied path fits a US aggregate demand shock at 58% probability, far above the 2.2% four-quarter run rate for private domestic final demand.
- The market-implied trough fed funds rate sits at 3.94%, atop its 3-year range. Repricing to our economists' 3.50% average puts UST 10y at 4.30% from 4.65%.
- Maintain UST 7s30s steepeners, DV01 neutral, at 70bp with a target of 100bp and a trailing stop of 58bp. Carry and roll pays while the front-end reprices.
- Maintain SFRV6 96.125/96.25 call spreads for 4 ticks and SFRM7M8 steepeners at -9.5bp, targeting -4bp to own a tradable rally into the midterm elections.

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Interest Rate Strategy

United States | Stay the course, stay in steepeners

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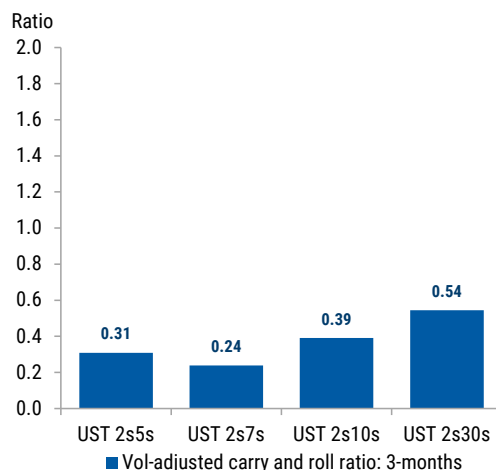
Maximize volatility-adjusted carry and roll

We continue to suggest investors embrace yield curve steepeners. UST 7s30s steepeners remain our preferred expression on the spot curve (as opposed to in forward space). Of all the popular ways of expressing a curve steepening view on the spot curve, the 7s30s curve offers the best volatility-adjusted (vol-adjusted) carry and roll.

In [Exhibit 1](#) and [Exhibit 2](#), we show vol-adjusted carry and roll ratios for various curves involving either the 2y Treasury note or the 30y Treasury bond. For the 3-month metric, we divide the expected carry and roll over the next 3 months by an exponentially-weighted realized volatility metric over the past 3 months.

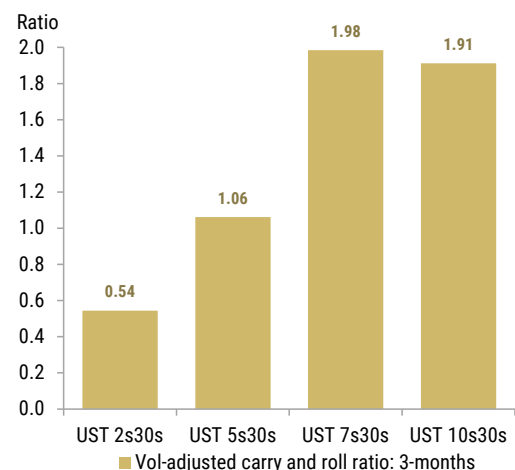
- Both 7s30s and 10s30s curve steepeners offer the highest vol-adjusted carry and roll by a healthy margin, with the 7s30s curve steepener offering nearly twice as much as the 5s30s curve steepener.

Exhibit 1: 3-month vol-adjusted carry and roll ratio for DV01-neutral Treasury curve steepeners involving the 2y note



Source: Morgan Stanley Research, Bloomberg

Exhibit 2: 3-month vol-adjusted carry and roll ratio for DV01-neutral Treasury curve steepeners involving the 30y bond



Source: Morgan Stanley Research, Bloomberg

The vol-adjusted carry and roll for the 7s30s curve steepener sits at its highest ratio since mid-2022 (see [Exhibit 3](#)). While the trade offered better vol-adjusted carry and roll after the Great Financial Crisis – when the target fed funds rate sat at the effective lower bound – overall yields sat at much lower levels (see [Exhibit 4](#)).

Exhibit 3: 3-month vol-adjusted carry and roll ratio: UST 7s30s steepener: 2010-present

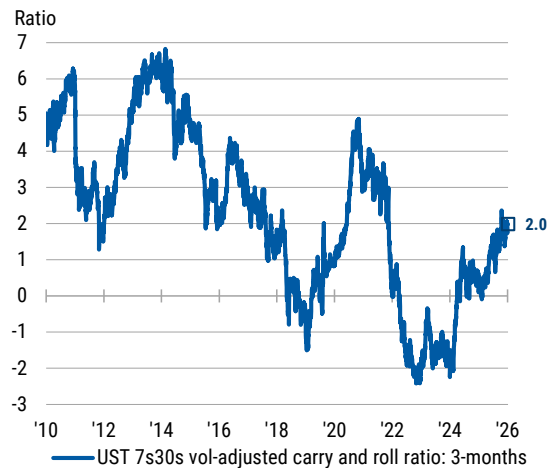
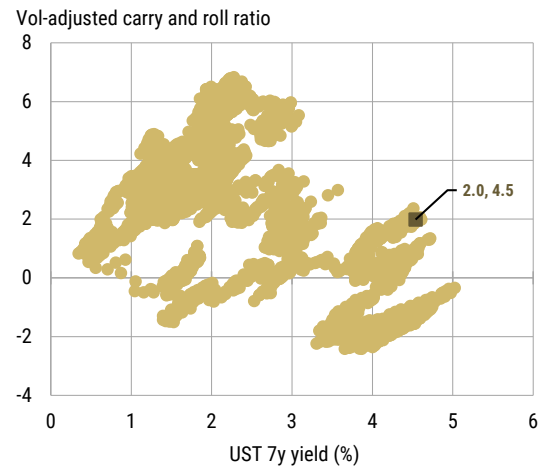


Exhibit 4: 3-month vol-adjusted carry and roll ratio for UST 7s30s steepener vs. 7y yield level*



This historically attractive vol-adjusted carry and roll represent the alpha that investors can monetize in the beta component of the yield curve – which we think will continue to trend steeper in the coming months, given our view that markets will price out all currently embedded rate hikes as inflation softens into year-end.

Where pricing stands after the July employment report

Market prices continue to reflect a different outcome than we think occurs on average. Our economists think the average outcome for the target fed funds rate involves lower rates, not higher rates as the market prices today (see [Exhibit 5](#) and [Exhibit 6](#)).

Exhibit 5: Target fed funds range upper bound, Morgan Stanley baseline and 4 alternative scenarios

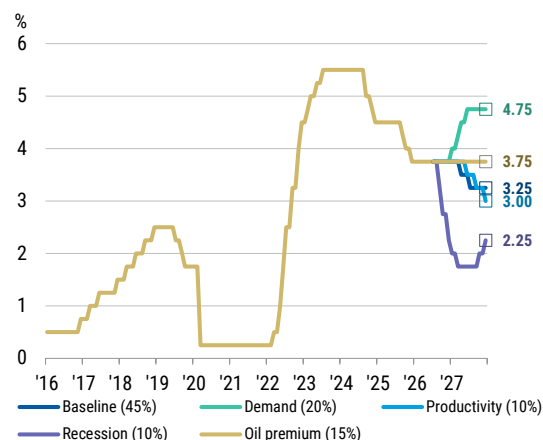
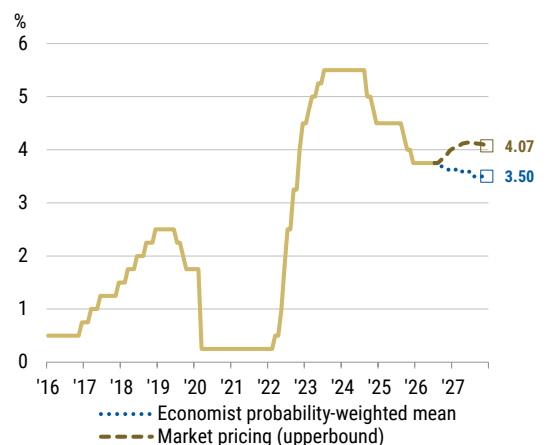
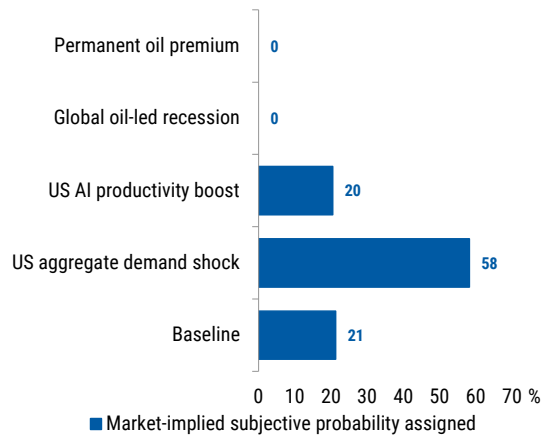


Exhibit 6: Target fed funds range upper bound, economist probability-weighted mean vs. market



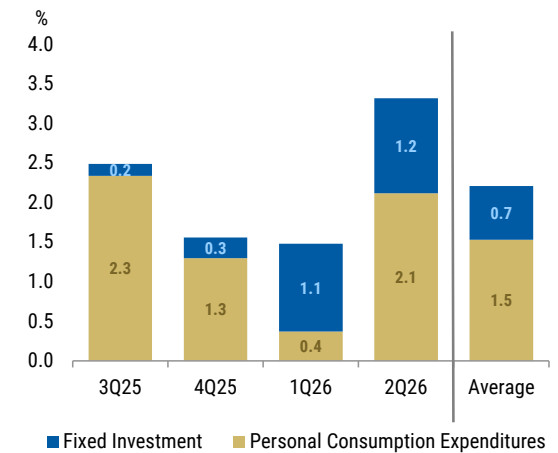
We think market prices continue to reflect a higher probability of an economy experiencing robust aggregate demand – closer to a 3% real growth run rate, per [the associated scenario](#) from our economists, than the current 2.2% four-quarter run rate for private domestic final demand (see [Exhibit 7](#) and [Exhibit 8](#)).

Exhibit 7: Subjective probabilities that produce a market path most closely aligns to the current market-implied path



Source: Morgan Stanley Research, Federal Reserve, Bloomberg

Exhibit 8: Private domestic final demand contributions to real GDP growth, Q/Q SAAR and 4-quarter average

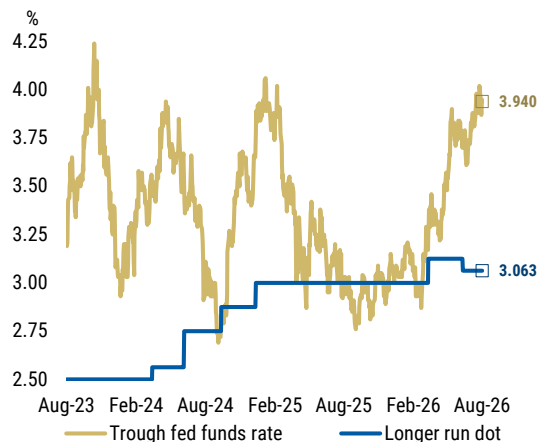


Source: Morgan Stanley Research, Federal Reserve, Bloomberg

As we pointed out in the past, the pricing of Fed policy continues to dominate movement in Treasury yields further out the curve. If the market reprices to a lower trough fed funds rate – our view – we would expect to see lower US Treasury yields.

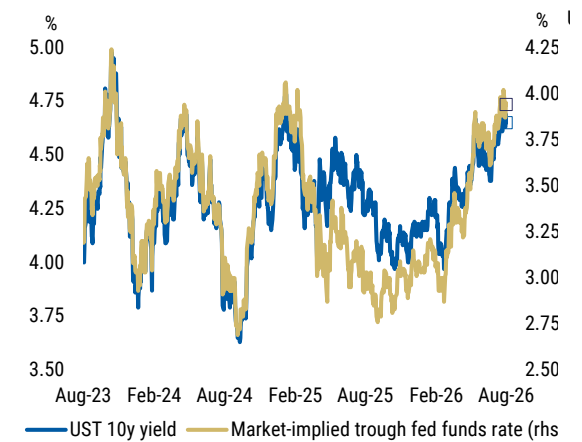
- Sitting at the top of its three-year range, the market-implied trough fed funds rate looks ripe to receive – especially after a July employment report that snuffed out hopes of a longer-lasting labor market rebound (see [Exhibit 9](#)).
- If the market repriced to what our economists envision as the average outcome for the fed funds rate, we would expect UST 10y yields to reach 4.30% from 4.65% today, assuming other risk premiums remain stable (see [Exhibit 10](#)).

Exhibit 9: Market-implied trough fed funds rate vs. SEP median 2026 and longer run dots



Source: Morgan Stanley Research, Federal Reserve, Bloomberg

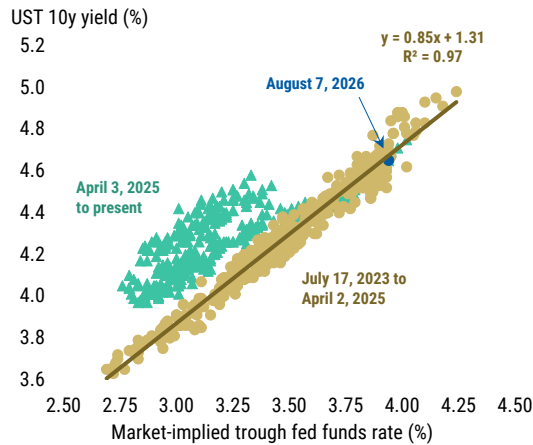
Exhibit 10: Market-implied trough fed funds rate and US Treasury 10-year yield



Source: Morgan Stanley Research, Federal Reserve, Bloomberg

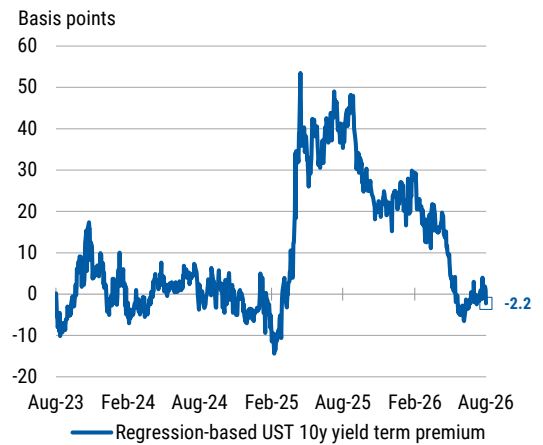
No traces of the post-April 2, 2025 "Liberation Day" risk premium remain – another sign that the duration from investment grade corporate bond issuance did not impact the Treasury market (see [Exhibit 11](#), [Exhibit 12](#), and [Real Yields Are About Oil and the Fed's Reaction Function, Not Real Growth and IG Supply](#)).

Exhibit 11: Market-implied trough fed funds rate vs. 10y US Treasury yield



Source: Morgan Stanley Research, Bloomberg

Exhibit 12: Market-implied trough fed funds rate vs. 10y US Treasury yield regression residual



Source: Morgan Stanley Research, Bloomberg

We think all of this sets the Treasury market up for a tradable rally into the US midterm elections, which we prefer to play via call spreads on SFRV6 futures, SFRM7M8 steepeners, and UST 7s30s curve steepeners.

- Trade idea: Maintain SFRU6 95.9375/95.875 put spread for 0.25 ticks.
- Trade idea: Maintain SFRV6 96.125/96.25 call spread for 4 ticks.
- Trade idea: Maintain UST 7s30s steepeners, DV01 neutral, at 70p with a target of 100bp and a trailing stop of 58bp.
- Trade idea: Maintain long 2-year (Sep '27) UST SOFR swap spreads at -10.1bp with a target of -9bp and a trailing stop of -13.5bp.
- Trade idea: Maintain SFRM7M8 curve steepeners at -9.5bp with a target of -4bp and a trailing stop of -18bp.

Valuation Methodology and Risks

Below you will find a list of our current trade ideas, entry levels, entry dates, rationales, and risks.

Interest Rate Strategy				
TRADE	ENTRY LEVEL	ENTRY DATE	RATIONALE	RISKS
Long 2y (Sep '27) UST SOFR swap spread	-21.6bp	10/3/2025	We expect softer funding conditions and a steepening of the very front end to cause swap spreads in the front end to widen given recent relationships.	Risks to the trade include firmer funding than expected or a stabilizing job market.
7s30s curve steepener	63bp	7/2/2026	Recent labor data are not consistent with an overheating economy, reducing the risk of near-term Fed rate hikes. Softer trends of inflation data likely continue the trend of more rate hike risk premium to be priced out.	The main risk is if inflation data reignites hawkish Fed tail risks
Buy SFRV6 96.125/96.25 call spread	3 tick	7/23/2026	The combination of higher rate expectations and stable implied volatility has made a scenario in which the Fed does not hike through March 2027 an increasingly low probability outcome in market pricing.	The main risk is that the market continues to price additional Fed hikes by October, either because the Fed delivers a hike before then or signals a more hawkish policy path
Buy SFRU6 95.9375/95.875 put spread	0.75 ticks	7/31/2026	We recommend using a SOFR futures option structure as a high payout way to position for a repricing toward a potential 50bp hike at the September FOMC meeting.	The primary risk is that incoming data fail to justify a 50bp hike. In that case, the market is likely to continue pricing a more gradual hiking path, limiting downside in SFRU6 and reducing the value of the option structure
SFRM7M8 curve steepener	-19.0bp	7/2/2026	Recent labor data are not consistent with an overheating economy, reducing the risk of near-term Fed rate hikes. Softer trends of inflation data likely continue the trend of more rate hike risk premium to be priced out. We think that allows for more outperformance of M7 relative to M8, after underperformance over the past three months when hawkish tail risks dictated pricing of Fed policy. M7M8 steepeners also better complement our core UST 7s30s steepener view.	The main risk is if inflation data reignites hawkish Fed tail risks

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Underweight/Sell	560	15%	97	10%	17%	217	12%
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